NUNO FONTOURA · FREE RESOURCE

MARGIN DIAGNOSTIC

The Agency Margin Leak Map

Seven places margin leaks between brief and cash. Measure each one in five minutes, then install the system that closes it.

Fillable PDF · 11 pages · 50 minutes

THE PREMISE

Margin rarely disappears in one place

An agency can win good work, deliver it well and still keep less than it should. The money goes quietly: in pitches that never convert, in extras nobody priced, in a quote that was wrong before the job began, in invoices that wait.

This map covers seven leaks, plus the outside pressures that widen them: late payment and a shifting economy. Measure each from your last twelve months of data, then install the system on your side that closes it. Leak 3 applies only to agencies that make physical product.

HOW TO USE IT

1. **Measure.** Type your figures into the grey fields. In Acrobat or Edge, the totals work themselves out.
2. **Install.** Each leak page has a ready-made system: a checklist, template or rule. Fill it in.
3. **Choose three.** Page 10 collects your figures. Pick the three biggest and re-measure in 30 days.

Round your figures: a rough number you can act on beats an exact one you never find. Type into the fields and save, or print and write by hand.

THE SEVEN LEAKS

Win

1. Pitching
Free work spent chasing business that does not convert.

2. Scope creep
Delivered work that was never priced.

Make

3. Unit cost
Product quoted below what it truly costs. *Production only.*

6. Time-priced revenue
Income that rises only when headcount does.

Keep

4. Cash tied up
Money sitting in stock and receivables.

5. Late invoices
Cash that is earned but not yet yours.

7. Informal systems
Work that stops when one person is away.

LEAK 1 OF 7

Pitching

Pitching is a cost of sale. Most agencies never total it, so it never gets a budget, and every pitch gets full effort whatever the odds.

MEASURE IT

LAST 12 MONTHS	YOUR FIGURE
Pitches you put together	
Average hours of team time per pitch	
What an hour of that time costs you £	
Pitches won	
Total cost of pitching £ · works itself out	
Cost of each win £ · works itself out	

INSTALL IT

A pitch budget and a go or no-go checklist

Decide before you start, not after you have spent the week. Pitch only when at least four of the five are true.

- [ ] The client fits the work we already do well.
- [ ] We know the budget, or the budget range, before we start.
- [ ] We have spoken to the person who decides, not only the person who briefed us.
- [ ] The pitch is paid, or the free part is capped.
- [ ] We have the capacity to deliver it if we win.

MAXIMUM HOURS PER PITCH	MAXIMUM SPEND PER PITCH £	WHO SAYS GO OR NO-GO

YOUR INSTALL PLAN

WHO OWNS THE INSTALL	START DATE	YOUR 30-DAY TARGET a number

LEAK 2 OF 7

Scope creep

Every small extra feels reasonable at the time. Added together they are a project you delivered and never invoiced.

MEASURE IT

Take your last four projects. Estimate the hours of work delivered that were not in the signed scope.

PROJECT	HOURS OUTSIDE SCOPE
Total hours given away	
Your hourly rate to clients £	
Value of work given away £ · works itself out	

INSTALL IT

Scope that says what is out, and a one-page change request

- [ ] Every proposal lists what is **not** included, as well as what is.
- [ ] Every contract carries a one-page change request as an attachment.
- [ ] The team knows that no extra work starts until a change request is signed.

CHANGE REQUEST TEMPLATE

WHAT IS BEING ASKED FOR

EXTRA HOURS	EXTRA PRICE £	IMPACT ON DELIVERY DATE

YOUR INSTALL PLAN

WHO OWNS THE INSTALL	START DATE	YOUR 30-DAY TARGET a number

LEAK 3 OF 7 · PRODUCTION ONLY

Unit cost

A quote built on a rough cost per unit can be wrong before the first piece is made. Setup, wastage and overhead are the lines most often left out.

MEASURE IT

Take your last product run. Compare what you quoted with what it cost.

COST PER UNIT, LAST RUN	YOUR FIGURE
Cost per unit you quoted £	
Materials actually used £	
Labour actually spent £	
Setup and changeover, shared across the run £	
Wastage and rejects, shared across the run £	
Fair share of overhead £	
Actual cost per unit £ · adds up on its own	
Gap against your quote £ per unit · works itself out	
Units you make in a year	
Margin leaking each year £ · works itself out	

INSTALL IT

One cost sheet, used for every quote

Use the six lines above as a standing template. Overhead is shared out on what causes it, such as setups or machine time, not on a flat percentage.

- [ ] No quote goes out without the six lines filled in.
- [ ] After each run, actual cost is entered next to the quote.
- [ ] Rates for labour, setup and overhead are reviewed every quarter.

YOUR INSTALL PLAN

WHO OWNS THE INSTALL	START DATE	YOUR 30-DAY TARGET a number

LEAK 4 OF 7

Cash tied up

Margin on paper is not cash in hand. Every day stock sits on a shelf, or a client sits on an invoice, you are lending your own money.

MEASURE IT

Service-only agencies can leave stock at zero.

LAST QUARTER	YOUR FIGURE
Cost of delivering the work, for a year £ · materials, bought-in costs and delivery labour	
Days work and materials sit before billing	
Days between invoice and payment	
Days you take to pay your own suppliers	
Cash cycle in days stock + receivables – payables · works itself out	
Cash tied up on average £ · works itself out	

INSTALL IT

A monthly cash-cycle sheet

Fill in the three figures on the same day each month. Choose one to shorten and set a number of days.

MONTH	STOCK DAYS	RECEIVABLE DAYS	PAYABLE DAYS

Lever I will pull first: ☐ Stock ☐ Receivables ☐ Payables, agreed in writing

YOUR INSTALL PLAN

WHO OWNS THE INSTALL	START DATE	YOUR 30-DAY TARGET a number

LEAK 5 OF 7

Late invoices

Work done and invoiced is still not yours until it is paid. Agreed terms and a fixed routine decide how long that takes.

MEASURE IT

RIGHT NOW	YOUR FIGURE
Total invoiced in the last 12 months £	
Value of invoices past their terms £	
Number of invoices past terms	
Average days past terms	
Share of a year's billing that is overdue % · works itself out	

INSTALL IT

Terms on every quote, and one chase routine

DEPOSIT ON ACCEPTANCE %	PAYMENT TERMS days	FIXED WEEKLY CHASE DAY

- [ ] Deposit or milestone payments are written on every quote. For production, the deposit covers materials.
- [ ] Payment terms are on the quote and the invoice, in the same words.
- [ ] One named person chases on the fixed day, using the ladder below.

DAYS PAST TERMS	WHAT HAPPENS, AND WHO DOES IT

YOUR INSTALL PLAN

WHO OWNS THE INSTALL	START DATE	YOUR 30-DAY TARGET a number

LEAK 6 OF 7

Revenue tied to headcount

If income only grows when you add people, margin stays flat. Packaging one repeatable service breaks that link.

MEASURE IT

LAST 12 MONTHS	YOUR FIGURE
Revenue £	
People on payroll, full-time equivalent	
Revenue per person £ · works itself out	
Of your last 10 jobs, how many were priced by the hour	
Share of work priced by time % · works itself out	

INSTALL IT

One packaged service, priced per output

Choose the service you already deliver most often. Fix the scope, fix the price, and check the margin before you offer it.

THE SERVICE

FIXED SCOPE, IN ONE SENTENCE

PRICE PER OUTPUT £

HOURS TO DELIVER IT

COST OF AN HOUR £

MARGIN ON EACH ONE £ · works itself out

MARGIN % · works itself out

- [ ] The steps are written down, so anyone trained can deliver it the same way.

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET a number

LEAK 7 OF 7

Informal systems

What lives in one person's head works until that person is away, busy or gone. A written checklist and a named backup turn it into a system.

MEASURE IT

List the processes that would stop delivery if the person running them were away for two weeks.

PROCESS	WHO RUNS IT	WRITTEN?	BACKUP
		☐	
		☐	
		☐	
		☐	
		☐	

PROCESSES WITH NO WRITTEN CHECKLIST

PROCESSES WITH NO NAMED BACKUP

INSTALL IT

A one-page checklist for each critical process

CHECKLIST TEMPLATE

PROCESS

STARTS WHEN

STEPS, IN ORDER

DONE WHEN

OWNER

BACKUP OWNER

YOUR INSTALL PLAN

WHO OWNS THE INSTALL

START DATE

YOUR 30-DAY TARGET a number

BEYOND THE SEVEN

Outside pressure, inside systems

You cannot stop clients paying late or the economy shifting. You can set the rules and buffers that decide how much it costs you.

LATE PAYMENT: PUT YOUR RIGHTS IN YOUR TERMS

- [ ] Our terms state that we charge statutory interest and compensation on late commercial payments, in plain words.
- [ ] The same wording is on every quote, contract and invoice.
- [ ] We have decided the day we apply it, and who has the authority to waive it.

APPLY IT AFTER days past terms

WHO CAN WAIVE IT

DATE TO CHECK THE CURRENT RULES with your accountant

ECONOMIC SHIFTS: A BUFFER, A PRICE REVIEW AND A TRIGGER PLAN

YOUR BUFFERS	YOUR FIGURE
Cash you could draw on today £	
Fixed costs each month £ · payroll, rent, software, loans	
Weeks of fixed costs covered works itself out	
Revenue from your largest client £	
Total revenue £	
Share of revenue from one client % · works itself out	

BUFFER TARGET weeks

CAP ON ONE CLIENT % of revenue

PRICE AND COST REVIEW how often, and who

- [ ] Contracts longer than three months include a price-review clause.

TRIGGER PLAN

IF THIS HAPPENS e.g. a client cuts its budget

WE DO THIS and who does it

IF THIS HAPPENS e.g. supplier costs rise

WE DO THIS and who does it

YOUR MAP

All seven leaks in one place

Leaks 1 to 5 fill in from your earlier pages when you use Acrobat or Edge. In other viewers, copy the figure across.

LEAK	YOUR FIGURE
1. Pitching £ spent a year	
2. Scope creep £ given away	
3. Unit cost £ a year, production only	
4. Cash tied up £ on average	
5. Late invoices £ overdue now	
6. Revenue tied to headcount % priced by time	
7. Informal systems processes with no checklist	
Margin leaking each year leaks 1 + 2 + 3	
Cash held up leaks 4 + 5	

CHOOSE THREE

Pick the three biggest, by pounds or days, and install them in that order.

LEAK A

WHICH LEAK	FIRST ACTION	START DATE

LEAK B

WHICH LEAK	FIRST ACTION	START DATE

LEAK C

WHICH LEAK	FIRST ACTION	START DATE

DATE TO RE-RUN THESE TESTS 30 days from now

WHERE THIS STOPS

What this map does not do

It measures what you can change, and gives you a system for each, including the pressures that start outside your business. It does not tell you which fixes to do first for your team, or how to make them stick once the week gets busy.

That part is sequencing: choosing the order, fitting the systems to the people who will run them, and checking they are still in use in three months. Seven leaks measured on one afternoon are a start. Closing them is the work.

THE FULLER PICTURE

The free VOS assessment scores the whole business, not just margin, across nine areas from 0 to 100, and names the one to look at first.

A 30-minute discovery call takes your three biggest leaks and ranks the fixes by cash impact, whether or not we work together.

Want to install this properly?

You have the leaks and your numbers. The free VOS assessment shows how they connect to the rest of the business, so you fix them in the right order.

Take the free VOS assessment | **Book a discovery call**

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